Signed by
Transition RAC
RADIX DAO LLC

Proposal & Voting Framework

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1. Scope

This document defines:

- How proposals are created, discussed, and approved
- Voting mechanisms and thresholds
- Proposal categories and requirements
- Safeguards such as the Compliance Challenge and resubmission rules

Binding effect and the Advisory Governance Period. This framework describes the DAO's governance mechanics. The point at which a passed DAO Proposal becomes a **legally binding decision of the Company** is governed by the Operating Agreement: during the **Advisory Governance Period** (formation to the Activation Date) governance outcomes are **advisory** (OA §§5.8–5.9), save for the three binding community acts in Charter §4A.2 (framework ratification, the Permanent RAC election, and the Activation Vote); from the **Activation Date** they are binding decisions of the Company (OA §5.7). References to a "binding" proposal in this document mean binding within the DAO's governance process and take legal effect on this timeline. The Activation Vote itself runs on the parameters in DAO Parameters §3A.2.

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2. Proposal Eligibility

Any Governance Participant may submit a proposal. No minimum holding, prior registration, or approval from any DAO body is required to submit. This right flows directly from Governance Participant sovereignty as established in the Charter §4.1 and the governance participation rights in Operating Agreement Article V (§5.4).

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3. Proposal Lifecycle

All proposals follow a three-stage pipeline:

3.1 Stage 1 — Draft Discussion

- Idea introduced publicly on the RAC-designated discussion platform
- Open community discussion and feedback
- Minimum duration defined in DAO Parameters §3.1

3.2 Stage 2 — Temperature Check (TC)

- Mandatory YES / NO poll submitted to the governance platform after Draft Discussion concludes
- Assesses community support before a binding vote is opened
- Vote type: Temperature Check Vote (§6.2.6) — YES / NO only, no Abstain
- Quorum: 3% of eligible voting power (DAO Parameters §3.2)
- Passes on simple majority (≥50% YES of votes cast)
- A failed TC resets the standard 7-day cooldown (DAO Parameters §3.4) before a new TC may be submitted for the same proposal
- Duration defined in DAO Parameters §3.1

The Temperature Check in an Election proposal. For Election proposals (§4.5) the Temperature Check carries an additional function: it is the community's approval of the candidate list. The Temperature Check and the election vote are created in a single operation on the governance platform, over one candidate list that is immutable from creation, so the list put to the Temperature Check is provably the list put to the election vote. The Temperature Check ballot states the election mechanism selected for that election (§4.5). A failed Temperature Check is terminal for that election: no election vote opens, no seats are filled, and the standard 7-day cooldown (DAO Parameters §3.4) runs before a new Temperature Check may be submitted for the same role.

The Temperature Check is a **list-level** gate — it asks whether this set of candidates is an acceptable field to hold an election over, not whether every candidate on it should be seated. A voter should not reject an entire field over one candidate they would decline.

Objection to an individual candidate is expressed at the election vote itself, but **what that objection can achieve differs by mechanism**, and a voter should understand which mechanism they are approving a list for:

- **Two-stage** — a NO at Stage 2 counts directly against that candidate's approval threshold, so a sufficiently large minority can decline a candidate outright (§6.2.7). This is the only point in the framework at which a minority can block an appointment
- **Majority Judgment** — a voter grades the candidate low, and that grade changes the outcome only where enough voting power grades them at or below that level to move the qualifying grade below the Minimum Qualifying Grade (§6.2.4). A voter grading a candidate Poor does not prevent their seating where three-fifths of the voting power cast grades them at or above the floor. Majority Judgment confers no individual veto, and the Minimum Qualifying Grade cannot be tuned into one — it sets *which grade* the required share must confer, never *what fraction* must agree. The fraction is the Grade Quantile, which is the same for every election

Neither treatment is a defect; they are different questions put to the electorate. The Election Methods Guide sets out the considerations that follow.

Temperature Checks used outside this pipeline. A Temperature Check is also used as a standalone instrument in two places, neither of which is a Stage 2 pipeline

TC and neither of which elevates to a Governance Proposal on passing: the Community Accountability Hearing request (RAC Mandate §11B) and the Steward Consultation Temperature Check (Working Group Framework §7.2). Where a Steward Consultation TC is declined, the matter may proceed only as a full Treasury & Budget proposal after the standard cooldown in DAO Parameters §3.4 — that proposal runs the complete pipeline, including its own Stage 2 Temperature Check under this section.

3.3 Stage 3 — DAO Proposal

- Formal binding proposal elevated by the Governance Operator from a passed TC via the Owner Badge
- The Governance Operator must elevate an eligible passed TC within the TC Elevation Window (DAO Parameters §3.1), or record documented grounds for the delay with the RAC. An eligible TC left unelevated beyond that window triggers the elevation backstop (Governance Continuity Framework §4.2A)
- Must include all required fields (see §5)
- Category determines vote type, quorum, and approval threshold (§4; DAO Parameters §3.2–3.3)
- Passed → moves to execution; Failed → standard cooldown applies

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4. Proposal Categories

4.1 Constitutional Proposals

Changes to:

- Charter
- Core governance structure

Charter changes are classified as Major Changes under the Governance Maintenance & Upgrade Framework and require this proposal type. The Governance Maintenance & Upgrade Framework governs versioning, consistency requirements, and amendment procedures for all Charter amendments.

4.2 Governance Process Proposals

Changes to:

- Governance rules
- Process documents

Proposals that introduce or modify governance documents — policies, process documents, and structural rules (excluding the Charter, which requires a Constitutional proposal per §4.1) — must follow the Governance Maintenance & Upgrade Framework.

This framework defines:

- classification of changes (patch, minor, major)
- required approval thresholds
- consistency and versioning requirements

All governance changes must clearly specify their classification and comply with the defined upgrade process.

4.3 Treasury & Budget Proposals

- Funding requests
- Budget allocations

Treasury & Budget proposals use the Standard vote type (§6.2.1). Where funds are distributed across multiple recipients, the proposal must state the split — the amount or percentage each recipient receives — and voters accept or reject that split as a package.

4.4 Executable Proposals

- Technical or operational changes
- On-chain or system execution

Multi-option Approval Voting polls are a sub-type of Executable proposals for cases where the community must choose between several defined options rather than a binary question. They use Approval Voting (§6.2.2) rather than the Standard vote type. A shortened 1-day Temperature Check applies (DAO Parameters §3.1). The result is advisory unless the proposal text mandates execution of the winning option.

Any Executable proposal that requires compensated work — including fixed-rate service delivery — must include a Treasury & Budget component specifying the cost arrangement and receiving party. Such combined proposals are evaluated against Treasury & Budget quorum and approval thresholds (the more stringent of the two proposal types). Executable proposals with zero cost proceed under Executable thresholds.

4.5 Election Proposals

Selection of candidates for DAO roles: RAC members, Working Group Stewards, and Strategic Coordination WG members.

Delegated Functions (Treasury Signing, Governance Operations, Legal Signatory, Compliance Liaison, Web2 Custodian) are **not** ordinarily filled by Election Proposal: they are allocated by the RAC from among its seated members and run with the holder's RAC seat (Delegate Mandate §3; Elections & Role Governance Policy §2).

Where the DAO has resolved by Governance Process proposal to fill a Delegated Function by election, that function is an Election Proposal under this section like any other role.

Election proposals use a modified version of the standard pipeline (§3): the Draft Discussion and Nomination Period are merged into a single combined Nomination & Discussion Window (DAO Parameters §3.1 and §6B), and the Temperature Check is compressed to a minimum of 1 day (DAO Parameters §3.1). The Temperature Check for an Election proposal also serves as the community's approval of the candidate list (§3.2).

Election mechanisms

Two election mechanisms are operative, and an election runs under one of them:

- **Majority Judgment** (§6.2.4) — a single graded round in which voters grade every candidate. Pipeline: Nomination & Discussion Window → Temperature Check → Majority Judgment election vote → (single rerun at the **same** quorum and floor over a doubled voting period, if the first round misses quorum).
- **Two-Stage Approval Voting → Confirmation** (§6.2.5) — Approval Voting shortlisting followed by a per-candidate confirmation vote. Pipeline: Nomination & Discussion Window → Temperature Check → Stage 1 Shortlisting → Stage 2 Confirmation.

Majority Judgment is the default. Both mechanisms are fully specified and neither requires activation, but they are not equally available: **every election runs under Majority Judgment unless the DAO has resolved otherwise by Governance Process proposal**. Elections & Role Governance Policy §7 is authoritative for how a resolution is made and when it takes effect. The mechanism is accordingly not selected by the body administering an election — the RAC has no power to depart from the default on its own motion — and the mechanism in force is stated on the Temperature Check ballot (§3.2) so that the community approves the candidate list knowing how that list will be voted on. The Election Methods Guide describes the considerations bearing on whether the DAO should resolve a departure; it is not part of this framework and imposes no requirement, and since no per-election choice exists it informs a proposal rather than an administrative decision.

Both mechanisms use the same eligible voting power and the same snapshot rule — each vote takes its own snapshot when it opens, and only a rerun reuses the snapshot of the round it re-runs (§6.1) — are preceded by the same Nomination & Discussion Window and Temperature Check, are published by the RAC under the same result determination procedure (§6.5), and refer unfilled seats to the same vacancy handling process (Elections & Role Governance Policy §11; founding election: §17.1).

Which document governs what

Both mechanisms are described in three places, and each place is authoritative for a different thing:

- **This section (§4.5)** — which roles are filled by election, the pipeline, and the default mechanism. How the DAO resolves a departure from that default, and when a resolution takes effect, is in Elections & Role Governance Policy §7. The

outlines below are **summaries**; where a summary and an authoritative section differ, the authoritative section prevails
- **§6.2.4 and §6.2.5** — the **counting mechanics**: ballot form, how a result is computed, thresholds, tie-breaks, and low-turnout handling. Authoritative for those
- **Elections & Role Governance Policy §7 and §7A** — the **role consequences**: seating, the reserve list, term start, tie adjudication, and referral of unfilled seats. Authoritative for those

Majority Judgment — in outline *(authoritative text: §6.2.4)*

The candidate list approved at the Temperature Check is put to a single graded vote. Voters grade every candidate from the scale in DAO Parameters §3.5; a ballot that omits any candidate is invalid. A candidate's **qualifying grade** is the highest grade that three-fifths of the voting power cast — the Grade Quantile (§6.2.4) — placed them at or above. Candidates are ranked by qualifying grade and are electable only if their qualifying grade meets the MJ Minimum Qualifying Grade (DAO Parameters §6B). The qualifying-grade ranking is itself the seating order, so there is no separate confirmation step. A round that closes below quorum may be re-run once, at the **same** quorum, the **same** quantile and the **same** electability floor over a doubled voting period. A failed round does not change the mechanism. The RAC must open the rerun, or publish that it will not, within the deadline in Elections & Role Governance Policy §7A.3, failing which the election has failed and the seats fall to vacancy handling.

Two-Stage Approval Voting → Confirmation — in outline *(authoritative text: §6.2.5)*

An Approval Voting poll shortlists nominees by total voting power received; each shortlisted candidate is then put to a separate YES/NO Confirmation Vote. A candidate is seated only if confirmed, and where more candidates are confirmed than there are seats, the Stage 1 ranking determines the order of seating. A candidate who meets the approval threshold but misses quorum is re-run once at a reduced quorum and a raised approval threshold; a rejected candidate is replaced by fallback advancement from the Stage 1 ranking.

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5. Proposal Requirements

All proposals must include:

- Title and description
- Category
- Rationale
- Expected outcomes
- Risks and trade-offs
- Budget (if applicable)
- Execution plan (if applicable)
- **Executor commitment declaration** *(required for all Executable and combined Executable + Treasury proposals)* — Named executor(s) must be identified by name and wallet address, and must have confirmed in writing (forum post or

signed statement) that they accept the execution responsibility before the TC voting period opens. Where the proposer is also the executor, this must be declared as a conflict of interest.

- **Cumulative recipient disclosure** (Treasury & Budget proposals only): total disbursements to the same recipient, entity, or affiliated group over the trailing 90 days. The RAC verifies this field before opening the Compliance Challenge Window. A missing or materially incorrect disclosure is valid grounds for a Compliance Challenge (Charter / rule violation: failure to meet required proposal content).

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6. Voting Mechanics

6.1 Voting Power

- Voting power is determined at a fixed snapshot
- **Each vote takes its own snapshot, fixed when that vote opens.** The Temperature Check takes one when the Temperature Check opens; the DAO Proposal or election vote takes its own when that vote opens. This holds even where two votes are created in a single operation, as the Temperature Check and the election vote are for an Election proposal (§3.2) — a single creation fixes the **candidate list**, not the electorate
- The snapshot is set by the system as a consequence of the vote opening, not chosen by the RAC or the proposer, and may not afterwards be altered
- **The one exception is a rerun.** A rerun reuses the snapshot of the round it reruns: a Majority Judgment rerun (§6.2.4) uses the snapshot of the first grading round, and a Stage 2 quorum-held-over rerun (§6.2.5) uses the snapshot of the confirmation vote it re-runs. This is what makes a rerun "the same electorate… with twice as long to participate" (§6.2.4). The remedy a rerun offers is **time**, and it would not be that if the electorate changed with it
- **Every other vote takes its own snapshot**, including votes created or opened after the election is under way: Stage 1 shortlisting, each Stage 2 confirmation vote, a fallback-advancement confirmation vote (§4.5), and any tie runoff (Elections & Role Governance Policy §7.2.1, §7A.4). These are new votes on new questions — a fallback-advancement candidate has not been voted on before, and a runoff asks something the election did not
- *Consequence, intended:* voting power acquired part-way through an election counts in the stages that follow. A holder who acquires eligible holdings after Stage 1 closes may vote in the Stage 2 confirmations. The electorate is kept current rather than frozen at the start of the election; only a rerun looks backwards, and only because its whole purpose is to re-put the same question to the same people
- **Deployment requirement.** The governance component must be capable of opening a rerun against the **stored snapshot of the round it re-runs**. A deployment without that capability cannot run the rerun provisions in §6.2.4 or §6.2.5 as specified (**On-Chain Identifiers & Verification Policy §3**)
- Measured in XRD-equivalent units; eligible holdings include:

- Eligible holdings are defined in two tiers (DAO Parameters §8A):
  - **Tier 1 — Constitutional floor (always eligible):** Liquid XRD held directly; LSU converted to XRD-equivalent via the LSU redemption rate at snapshot
  - **Tier 2 — RAC-governed supplementary sources:** LSULP and DEX pool positions as listed in the RAC-maintained register (DAO Parameters §8A)
- Changes to Tier 2 sources follow the RAC process defined in DAO Parameters §8A

6.2 Vote Types

The vote type determines how voters express preferences and how results are determined. Each proposal category maps to a designated vote type. All types use one token = one vote as the base unit of voting power.

6.2.1 Standard (YES / NO / ABSTAIN)

- Applies to: Constitutional, Governance Process, Treasury & Budget, and Executable proposals. This includes Treasury & Budget proposals that distribute funds across multiple recipients: the proposal states the split, and voters accept or reject it as a package. Multi-option Executable proposals use Approval Voting (§6.2.2) instead
- Voters cast one of three options: Yes, No, or Abstain
- Abstain counts toward Participation (and therefore toward quorum) but is excluded from Decisive Votes (and therefore from the approval threshold). Both terms are defined in §6.3
- Result: proposal passes if it meets quorum (§6.3), the YES share of Decisive Votes meets the approval threshold for the proposal type (DAO Parameters §3.3), **and** YES voting power meets the Minimum Affirmative Support floor for the proposal type (DAO Parameters §3.3A)

6.2.2 Approval Voting

- Applies to: Election shortlisting (§4.5) and multi-option Executable proposals (§4.4)
- Voters may select any number of options from a defined list. For multi-option Executable proposals, the ballot is capped at 8 options (DAO Parameters §3.5). For election shortlisting, the ballot lists all eligible nominees and selections are unrestricted (DAO Parameters §6B).
- Each selected option receives the voter's full voting power
- Result: the option with the highest total voting power wins. For multi-option Executable proposals, the winner must meet the minimum winner threshold (DAO

Parameters §3.5); if no option meets the threshold, the proposal fails and the proposer may resubmit after the standard cooldown. For election Stage 1 shortlisting, the minimum winner threshold does not apply — the top candidates by total voting power advance to Stage 2 (§6.2.5).

6.2.3 [Retired — Weighted Allocation] Weighted Allocation — a points-distribution ballot for Treasury proposals splitting funds across multiple recipients — was removed from this framework before ratification. It was never operative: it required platform tooling that was never specified, and its stated approval threshold could not be computed from the ballot it defined.

Treasury & Budget proposals distributing funds across multiple recipients use the Standard vote type (§6.2.1): the proposal states the split and voters accept or reject it as a package.

This section number is retained, rather than renumbered, so that references to §6.2.4–§6.2.7 remain stable.

6.2.4 Majority Judgment **Applies to:** Election Proposals (§4.5), as one of the two operative election mechanisms. Majority Judgment requires no activation vote, activation notice, or feature toggle.

Definitions.

Grade means one of the five ordered values in the grade scale (DAO Parameters §3.5), from Excellent (highest) to Poor (lowest). The order of the scale is normative: every comparison in this section is a comparison of rank on that scale.

Grade Quantile means **three-fifths**: the share of the voting power cast that must place a candidate at or above a grade for that grade to be the candidate's grade. It is set to equal the Election Stage 2 Approval Threshold (DAO Parameters §6B), so that both mechanisms put the same share-of-turnout test to a candidate. It is stated here rather than in DAO Parameters because it is not a threshold applied to a computed result, as a quorum is — it determines what a candidate's grade **is** — and amending it is an amendment to this section.

Qualifying grade means, for a candidate, the highest grade at which the voting power that graded the candidate at or above that grade reaches or exceeds the Grade Quantile of the voting power cast for that candidate. It is computed by accumulating voting power from the highest grade downward and taking the first grade at which the running total reaches that fraction. (Where the Grade Quantile is one half this is the candidate's **median grade** — the quantity the literature on this method calls the median, or a candidate's "majority grade".)

Exact values resolve upward. "Reaches or exceeds" is deliberate: where the running total arrives at **exactly** the Grade Quantile at a given grade, that grade is the qualifying grade. A candidate graded Excellent by exactly three-fifths of the voting

power cast and Poor by the remainder has a qualifying grade of **Excellent**. This differs from the convention in some of the literature, which takes the lower of the two middlemost grades on an exact split; the framework takes the higher because it follows from a single accumulation pass and can be verified from the published tallies without a second rule. The practical consequence is that voting power equal to three-fifths of that cast — not three-fifths plus one token — is sufficient to fix a candidate's grade.

Minimum Qualifying Grade means the lowest qualifying grade at which a candidate may be seated (DAO Parameters §6B). It is the Majority Judgment analogue of the approval threshold: a ranking alone does not seat a candidate the electorate broadly grades below the floor. It is not independent of the Grade Quantile — a higher quantile lowers every qualifying grade on the same ballots, so a floor left unchanged becomes a higher bar — and neither should be altered without reference to the other.

Electable means a candidate whose qualifying grade is at or above the Minimum Qualifying Grade in force for the round.

Ballot.

- Voters assign exactly one grade to every candidate in the election. A ballot that leaves any candidate ungraded is invalid and is not counted. The ballot interface must reject an incomplete submission at the point of casting, so that an invalid ballot cannot be cast and honest voter error cannot depress measured participation (On-Chain Identifiers & Verification Policy §3)
- Each voter's full voting power is applied to each grade that voter assigns
- Because every valid ballot grades every candidate, the voting power measured is the same for every candidate in the round. Qualifying grades are therefore directly comparable, and a candidate cannot be advantaged by being graded on fewer ballots than a rival

Result.

- Each candidate's qualifying grade is computed as defined above, and candidates are ranked by qualifying grade in descending order, ties broken as below
- A candidate is seated only if electable. The qualifying-grade ranking is itself the seating order, so the oversubscribed-confirmation question addressed for the two-stage process in §6.2.5 and Elections & Role Governance Policy §7.2.1 — where confirmation establishes eligibility and a separate ranking determines seating — does not arise under Majority Judgment
- Where a candidate ranked within the open seats is not electable, that seat passes to the next-ranked electable candidate. Where electable candidates are exhausted before the seats are, the election stands for the seats it filled and each remaining seat is referred to vacancy handling (Elections & Role Governance Policy §11; founding election: §17.1)
- Electable candidates who are not seated are placed on the reserve list for the role, ranked by qualifying grade and by the tie-break order below (Elections & Role Governance Policy §7.5)

Tie-break. Where two or more candidates share a qualifying grade and the tie affects the outcome, the tie is resolved by the **majority gauge**. For each tied candidate, let **p**

be the share of voting power that graded the candidate *above* their qualifying grade, and **q** the share that graded them *below* it. Both are shares of the voting power cast in the round, measured on the same basis as the qualifying grade itself; because every valid ballot grades every candidate, that denominator is identical for every candidate in the round.

- A candidate with p > q ranks above a candidate with p = q, who ranks above a candidate with p < q
- Among candidates with p > q, the higher p ranks first
- Among candidates with p < q, the lower q ranks first

The majority gauge is the operative tie-resolution rule, and the iterative middlemost-grade formulation of Majority Judgment is not applied. The two orderings agree, so this is a choice of method rather than of outcome: the gauge is used because it is computed in a single pass over the recorded tallies, alters no vote data, and can be verified by any member from the published result (§6.5). Given the same votes and voting powers it must produce the same outcome.

A tie is broken only so far as the outcome requires: a tie that does not determine which candidate is seated needs no resolution — whether at this election or on a later seating from the reserve list (Elections & Role Governance Policy §7.5) — and until it does, it is published as a tie.

The majority gauge does not separate two candidates who share a qualifying grade where both have p > q and the same p, where both have p < q and the same q, or where both have p = q. In the last case the size of p does not distinguish them: two candidates carrying equal weight above and below their qualifying grade are equally placed on the gauge however much voting power lies either side of it. Because the quantile is not one half these three classes are not symmetric — q cannot exceed two-fifths of the voting power cast, while p may approach three-fifths of it — but the ordering the gauge produces is unaffected, and it remains computable in a single pass and verifiable from the published result. Where a tie the gauge does not separate determines who is seated, it is resolved as provided in Elections & Role Governance Policy §7A.4 — by RAC adjudication, or, where more than two candidates are tied for a remaining seat, by a runoff among them. The determination and its reasons form part of the published result (§6.5). Resolution is a defined step of this mechanism, not a discretionary power exercised outside it.

Where enough seated RAC members are themselves candidates that the RAC falls below its non-recused floor (DAO Parameters §5.1; Elections & Role Governance Policy §5), the RAC may not adjudicate and no substitute adjudicator is appointed. Elections & Role Governance Policy §7A.4A applies instead: the result is determined arithmetically from the recorded tallies, every unresolved tie goes to a runoff whatever the number tied, and a tied runoff leaves the seat unfilled and refers it to vacancy handling. The mechanism still completes; it completes without discretion.

Quorum and low-turnout handling. Election proposals are excluded from the Governance Continuity Fallback (DAO Parameters §9A), so Majority Judgment carries its own low-turnout handling. It does **not** follow the two-stage pattern of a reduced rerun quorum, for the reason given below.

- The round is valid if participation meets the Minimum Participation for Elections (DAO Parameters §6B)
- Where a round closes below quorum, the RAC may re-run the election once under this section, as provided below. It has no other course: the mechanism does not change, and if no rerun is opened within the deadline in Elections & Role Governance Policy §7A.3 the election has failed
- A rerun under this section runs at the **same** quorum and the **same** Minimum Qualifying Grade as the round it follows, over the extended MJ Rerun Voting Period (DAO Parameters §6B). The remedy the rerun offers is time: the same electorate, the same snapshot (§6.1), the same candidate list and seat count, and the same thresholds, with twice as long to participate. The Grade Quantile is in any event a single figure applying to every Majority Judgment round, not a per-round setting, so there is no mechanism by which a rerun could carry a different one
- The RAC publishes a rerun notice when the rerun opens; the extended voting period runs from that notice
- At most one rerun is permitted (Max MJ Reruns, DAO Parameters §6B). If the rerun also closes below quorum, no candidate is elected and all seats are referred to vacancy handling (Elections & Role Governance Policy §11; founding election: §17.1)

Why the quorum is not reduced. The two-stage rerun can safely lower its quorum because it raises its approval threshold at the same time. Majority Judgment has a comparable instrument in the Grade Quantile and does not use it, for two independent reasons. A rerun re-puts the same question to the same electorate on the same snapshot, so its remedy is time, and a rerun run on different thresholds is a different question rather than more time to answer the same one. And a reduced quorum lowers the voting power needed to control the result, making the rerun cheaper to control than the round it exists to rescue — an incentive to suppress turnout in the first round. Raising the Minimum Qualifying Grade would not compensate either: a block that meets the quantile determines the qualifying grade and may name any grade it chooses, so the floor does not constrain it at any level. The quorum, the quantile and the electability floor accordingly hold constant across both rounds.

A quorum failure confers no power to change the mechanism. An election runs under the mechanism in force for it when its Nomination & Discussion Window opened (Elections & Role Governance Policy §7), and a round closing below quorum does not alter that. There is no restart under the two-stage mechanism.

The rerun is not automatic. A round that closes below quorum ends there: the rerun does not open unless the RAC opens it, and a governance platform must not schedule, date, or open one of its own motion. The RAC's decision is confined to whether the election is re-run — it has no discretion over the quorum, the quantile, the floor, the candidate list or the seat count — and it is time-limited under Elections & Role Governance Policy §7A.3.

The decision is nevertheless time-limited. The RAC must open the rerun, or publish that it will not, within the Replacement Election Trigger Time (DAO Parameters §6B) of the round closing; where it does neither, the election is treated as failed and every seat falls to vacancy handling (Elections & Role Governance Policy §7A.3, §11;

founding election: §17.1). Inaction is therefore not a way to leave a seat as it stands.

The decision arises **only** after a round has closed below quorum. A Majority Judgment round that is open, or that has closed with quorum met, is not subject to it — there is no power to halt a live election vote or to set aside a result that met quorum.

Number of candidates. Majority Judgment places no requirement on the number of candidates relative to the number of seats, and in particular does not require that a candidate be capable of losing on rank. The Minimum Qualifying Grade supplies that possibility independently of the ranking: where the candidates are no more numerous than the seats, the election is a quality test in which any candidate the electorate grades below the floor is not seated and the seat is referred to vacancy handling. An election with as many candidates as seats, or fewer, is therefore a valid Majority Judgment election.

Denominators. Majority Judgment produces graded results rather than a Yes/No tally. Participation and the treatment of Decisive Votes for this vote type are defined in §6.3.

6.2.5 Two-Stage Elections **Applies to:** Election Proposals (§4.5), as one of the two operative election mechanisms, alongside Majority Judgment (§6.2.4). The two-stage mechanism requires no activation vote, activation notice, or feature toggle. This section is the authoritative text for its counting mechanics; the role consequences are in Elections & Role Governance Policy §7.1–§7.3 and §7.2.1.

Stage 1 — Shortlisting (Approval Voting).

- An Approval Voting poll (§6.2.2) is published listing all eligible nominees. Voters may select any number of nominees they approve; selections are unrestricted (DAO Parameters §6B)
- The top candidates by total voting power — up to the shortlist size, being the open seats multiplied by the Election Shortlist Multiplier (DAO Parameters §6B) — advance to Stage 2
- The Stage 1 result is **procedurally binding**: no substitution of shortlisted candidates is permitted outside the fallback process below
- Stage 1 has **no separate quorum**; the Temperature Check result is sufficient (DAO Parameters §6B). The minimum winner threshold (DAO Parameters §3.5) does not apply — candidates are ranked by total voting power only
- **Tie for the last shortlist slot:** all tied candidates are included and the shortlist is expanded by the number of additional tied candidates. This expansion applies at the shortlist boundary only, never at the seat boundary, where the number of seats is fixed

Stage 2 — Confirmation (Confirmation Vote).

- Each shortlisted candidate is put to a **separate** Confirmation Vote (YES / NO) proposal (§6.2.7). Stage 2 proposals may run concurrently
- There is **no Abstain option**: a voter with no view on a candidate expresses that at Stage 1 by not selecting them. The reasoning is in §6.2.7

- A candidate is **confirmed** where the vote reaches the Election Stage 2 Quorum **and** the YES share meets the Election Stage 2 Approval Threshold (DAO Parameters §6B)
- Each Stage 2 vote takes its own snapshot when it opens (§6.1)

Classification of a Stage 2 result. When a confirmation vote closes, the candidate is classified as exactly one of:

Classification	Test	Consequence
Confirmed	Meets quorum **and** approval threshold	Eligible to be seated (Elections & Role Governance Policy §7.2.1)
Rejected	YES share below the approval threshold, **whether or not quorum was met**	Not elected; no rerun. A quorum shortfall never rescues a candidate the voters declined
Quorum-held-over	Meets the approval threshold but misses quorum	Not rejected; re-run once, as below

Rerun and fallback advancement.

- A **quorum-held-over** candidate is re-run once at the reduced Election Stage 2 Rerun Quorum and the **raised** Election Stage 2 Rerun Approval Threshold, over the extended Election Stage 2 Rerun Voting Period (DAO Parameters §6B). The rerun reuses the snapshot of the vote it re-runs (§6.1). If it meets both figures the candidate is confirmed; otherwise they are not elected. At most one rerun per candidate (Max Election Stage 2 Reruns)
- Where a candidate is **rejected**, or fails their rerun, and seats remain open, the next-highest un-voted candidate from the full Stage 1 result is advanced to a confirmation vote at the **standard** quorum and threshold — a newly advanced candidate has not yet demonstrated majority support and does not begin at the reduced rerun quorum — and is entitled to the same single rerun. A fallback-advancement vote takes its own snapshot (§6.1)
- This continues until all seats are filled or no un-voted Stage 1 candidate remains. Where seats remain with no un-voted candidate and no outstanding rerun, they are referred to vacancy handling (Elections & Role Governance Policy §11; founding election: §17.1)
- Where Stage 2 votes run concurrently, the RAC opens any rerun or fallback confirmation vote **only after all concurrent Stage 2 votes for that election have closed**

Quorum and low-turnout handling. Election proposals are excluded from the Governance Continuity Fallback (DAO Parameters §9A), so this mechanism carries its own low-turnout handling: the quorum-held-over rerun above. Unlike Majority Judgment, it **does** reduce the quorum — and can safely do so because it raises the approval threshold at the same time. Majority Judgment has an equivalent share-of-turnout

threshold in its Grade Quantile and could make the same trade, but declines to for reasons of its own set out in §6.2.4.

The two share thresholds match by design. This mechanism confirms at ≥60% YES and a block of more than 40% can decline a candidate; Majority Judgment settles a grade at three-fifths and a block of more than two-fifths can hold one down (§6.2.4). The choice between the mechanisms is therefore about rounds, ballot form, the record produced and whether objection is per candidate — not about how large a share of turnout decides.

Denominators. Stage 1 is Approval Voting and produces no Yes share. Stage 2 offers no Abstain option, so Participation and Decisive Votes are equal (§6.3); the Minimum Affirmative Support floor does not apply, because quorum and approval together already imply a minimum affirmative share (§6.2.7; DAO Parameters §3.3A).

6.2.6 Temperature Check Vote (YES / NO)

- Applies to: The Temperature Check stage (§3.2) for all proposal types
- Voters cast one of two options: Yes or No. There is no Abstain option.
- Quorum is measured by total voting power cast (YES + NO only)
- Result: TC passes if the YES share of votes cast meets the TC approval threshold (≥50% YES; see DAO Parameters §3.3)

6.2.7 Confirmation Vote (YES / NO)

- Applies to: Stage 2 candidate confirmation in Two-Stage Elections (§6.2.5, §4.5)
- Voters cast one of two options: Yes or No. **There is no Abstain option.**
- Quorum is measured by total voting power cast (YES + NO only), against the Election Stage 2 Quorum (DAO Parameters §6B)
- Result: the candidate is confirmed if the YES share of votes cast meets the Election Stage 2 Approval Threshold (DAO Parameters §6B)

Why no Abstain. Stage 1 (§6.2.2) already gives voters a costless, non-punitive way to express "no view" on a nominee — declining to select them. Stage 2 is a confirmation gate on candidates who have already cleared that filter, and the question at that gate is binary. An Abstain option would therefore duplicate a channel Stage 1 already provides while allowing voting power to be contributed to a candidate's quorum without expressing support for that candidate. Because Stage 2 ballots run concurrently across all shortlisted candidates, that would let a single holder supply the quorum for an entire slate in one action, leaving the outcome to be decided by a small affirmative bloc. The Minimum Affirmative Support floor (DAO Parameters §3.3A) is unnecessary here for the same reason: with no Abstain, the quorum and approval thresholds together guarantee a minimum level of affirmative support by construction.

6.3 Quorum

Participation means the total voting power cast on a proposal, including Abstain. Participation is the measure for all quorum tests and for the absolute participation floor in DAO Parameters §3.2.

Decisive Votes means Yes + No, excluding Abstain. Decisive Votes is the denominator for every approval threshold, vote share, ratio, and margin calculation in this framework and in DAO Parameters, unless a provision expressly states otherwise. Where a vote type provides no Abstain option (§6.2.2, §6.2.6, §6.2.7), Participation and Decisive Votes are equal.

Graded ballots. Majority Judgment (§6.2.4) is a graded vote type: a voter assigns each candidate a grade, which is neither a Yes nor a No. Two consequences follow, and this section is the provision that expressly states them.

- **Participation** for a Majority Judgment round means the total voting power of all valid ballots cast in that round. Because a valid ballot grades every candidate, participation is a single figure for the round and is the same for every candidate in it. It is measured against the quorum for the round in the ordinary way (DAO Parameters §6B)
- **Decisive Votes is not used for Majority Judgment.** There is no Yes share to compute and no ratio or margin measured against Decisive Votes. The function that an approval threshold performs for a Yes/No vote type is performed for Majority Judgment by two provisions together: the **Grade Quantile** (§6.2.4), which is the share of voting power that must agree in order to settle a grade, and the **Minimum Qualifying Grade** (§6.2.4; DAO Parameters §6B), which is the rank that grade must reach. Neither is a share of Decisive Votes and neither is computed against that denominator. The RAC must apply those two tests, not the §6.4 default

This is the same construction used in DAO Parameters §3A.4, where a single provision expressly displaces the default denominator and the RAC is directed to apply the stated one.

An Abstain option exists only in the Standard vote type (§6.2.1) — Constitutional, Governance Process, Treasury & Budget, and Executable proposals. No other vote type offers it, and in particular Stage 2 election confirmations do not (§6.2.7). Majority Judgment has no Abstain grade either: a voter who does not wish to support a candidate grades them low, and the grade scale itself carries that expression.

A proposal is valid only if quorum is met. Quorum is measured as Participation expressed as a percentage of eligible voting power — Yes, No, and Abstain votes all count toward it. Abstain therefore counts toward quorum but not toward the approval calculation (§6.2.1).

Meeting quorum is necessary but not sufficient. A Standard vote must additionally meet the Minimum Affirmative Support floor (DAO Parameters §3.3A), which is expressed as YES voting power against eligible voting power and is unaffected by Abstain volume. The floor exists so that a proposal carried over quorum largely by Abstain votes cannot pass on a negligible base of affirmative support. It applies only to

the Standard vote type; vote types without an Abstain option do not need it, because their quorum and approval thresholds together already imply a minimum affirmative share.

Quorum thresholds are defined in DAO Parameters and may vary by proposal type.

6.4 Approval Thresholds

Approval thresholds vary by proposal type:

- Constitutional: supermajority required
- Governance: higher threshold
- Treasury: standard majority
- Temperature Check (TC): simple majority — YES / NO only, no Abstain (see §6.2.6)

All approval thresholds are measured against Decisive Votes (§6.3). Standard votes are additionally subject to the Minimum Affirmative Support floor (DAO Parameters §3.3A), measured against eligible voting power. Majority Judgment (§6.2.4) is outside this section: it has no approval threshold measured against Decisive Votes, and its equivalent tests are the Grade Quantile and the Minimum Qualifying Grade (§6.3, §6.2.4).

Exact thresholds defined in DAO Parameters.

6.5 Result Determination Procedure

The RAC is responsible for formally determining the outcome of each vote and publishing the official result. This procedure applies to all vote types regardless of which governance platform is in use.

This section does not govern the framework ratification vote. That vote is taken before the Company is formed (Charter §4A.2A), so no RAC holds authority to determine it. Its result is determined arithmetically from the record of the system on which it was taken, by applying the thresholds in DAO Parameters §3A.1, and published by the persons named as the Transition RAC in Operating Agreement Schedule 1. That publication is **ministerial** — it records what the tallies produce and is not an exercise of any power under this framework, which the vote is itself adopting. Anyone may verify it from the same public record.

There is no power to exclude a vote. The RAC may not decline to count, discount, or set aside voting power that §6.1 and DAO Parameters §8A recognise, on any ground — including a sanction or finding under the Code of Conduct, whose sanctions do not reach the vote (Code of Conduct §6.3). Where the RAC believes voting power was cast improperly its remedies lie elsewhere: the Compliance Challenge route in §8, a removal proposal, or a report under the Code. None is a discretion exercised at the point of counting.

1. **Retrieve results.** After the voting period closes, the RAC retrieves the raw vote data from the governance platform.
2. **Verify quorum.** The RAC confirms that Participation (§6.3) meets the quorum threshold for the proposal type, expressed as a percentage of eligible voting power (DAO Parameters §3.2). Any quorum indicator displayed by the governance platform is informational; the percentage threshold in DAO Parameters is authoritative.
3. **Apply approval threshold (Standard votes).** For Standard votes, the RAC confirms that the YES share of Decisive Votes (§6.3) meets the type-specific approval threshold (DAO Parameters §3.3).

3A. **Verify Minimum Affirmative Support (Standard votes).** For Standard votes, the RAC confirms that YES voting power, expressed as a percentage of eligible voting power, meets the Minimum Affirmative Support floor for the proposal type (DAO Parameters §3.3A). A proposal that meets quorum and the approval threshold but fails this floor does not pass. The RAC publishes the Abstain volume and the computed affirmative-support percentage alongside the result under step 5.

4. **Determine winner (Approval Voting).** The RAC identifies the option with the highest total voting power and confirms it meets the minimum winner threshold (DAO Parameters §3.5). If no option meets the threshold, the proposal fails.

4A. **Determine result (Majority Judgment).** For a Majority Judgment election (§6.2.4), the RAC computes each candidate's grade distribution and qualifying grade at the Grade Quantile; applies the Minimum Qualifying Grade in force for the round to determine which candidates are electable; ranks candidates by qualifying grade; applies the tie-break where a tie affects the outcome, and adjudicates any tie the tie-break does not resolve — or, where the RAC is below its non-recused floor because its members are candidates, determines the result arithmetically and routes unresolved ties to runoff under Elections & Role Governance Policy §7A.4A without adjudicating; assigns seats in ranking order with fallback advancement past candidates who are not electable; records the reserve list and the number of seats referred to vacancy handling. Where the round closed below quorum, the RAC instead either opens the single permitted rerun under §6.2.4 and publishes the rerun notice required there, or publishes that it will not, with its reasons.

5. **Publish result.** The RAC publishes the official outcome — including raw results, quorum calculation, threshold applied, and winner determination — within the result publication window (DAO Parameters §3.5). For a Majority Judgment election the published result must additionally include each candidate's full grade distribution, each candidate's qualifying grade, the Grade Quantile applied, the Minimum Qualifying Grade applied, the quorum classification for the round, whether a tie-break or an RAC tie adjudication was applied and to which candidates, the seated candidates in ranking order, the reserve list, and any seats referred to vacancy handling. The Grade Quantile is stated on every such result even though it does not vary: a reader who assumes the median is at work must be able to see from the result itself that it is not.

Where any rule governing the election was altered by an emergency amendment un-

der Charter §12.2 between the opening of its Nomination & Discussion Window and this publication, the published result must say so, identify the amendment, and state that seating is deferred until the amendment is ratified (Elections & Role Governance Policy §7.4). Publication constitutes the official record and opens the 48-hour Compliance Challenge Window (§8).

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7. Proposal Conflicts

If two proposals conflict and cannot both be implemented:

- The proposal with the higher YES share of Decisive Votes (§6.3) prevails
- If the margin between them is less than 5 percentage points, both are invalidated and must be resubmitted as a single proposal with clearly defined alternatives. The margin is measured between the two YES shares of Decisive Votes, so differing Abstain volumes cannot by themselves create or remove a conflict
- If one proposal passed quorum and the other did not, the one that met quorum prevails regardless of vote share

These rules turn on a Yes share of Decisive Votes and so apply only to vote types that produce one. They do not apply to an Election proposal (§4.5): an election does not compete with another proposal for the same outcome, and a Majority Judgment result has no Yes share to compare (§6.3). Where a passed proposal would abolish, merge, or alter a role for which an election is running, the RAC publishes the conflict and the DAO resolves it by proposal; the election result stands unless and until it is displaced by that proposal.

The RAC flags conflicts at the start of the voting period where possible, so the DAO can be aware before voting closes.

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8. Compliance Challenge

8.1 Purpose

The Compliance Challenge exists to:

- Prevent proposals that violate governance rules
- Protect against malicious or invalid proposals

Why this is a challenge and not a veto. Charter §12.1 item 3 bars any grant of unilateral authority to override a valid vote outcome without a subsequent community approval process, so a minority veto is constitutionally unavailable; the DAO override in §8.4 is that process. The framework confers a unilateral right only where no vote has been taken — a term or engagement renewal (Elections & Role Governance Policy §9.2; Contributor Compensation Policy §6.5.3) — and tests every objection to a vote on its grounds.

8.2 Conditions

A Compliance Challenge may only be filed if the proposal:

- Violates the Charter, or
- Violates an existing governance process document

Disagreement with the policy substance of a proposal is not grounds for a Compliance Challenge.

8.3 Who May File

Any Governance Participant holding at least the Compliance Challenge Filing Threshold (DAO Parameters §4 — 0.1% of eligible voting power, verified against the most recent governance snapshot) may file a Compliance Challenge. No aggregate participation or co-signature requirement applies: a single valid filing triggers RAC review under §8.4, which is the substantive filter on the grounds relied on.

8.3A Identification and Proof of Holding

A Compliance Challenge filing must identify the filer and evidence the Compliance Challenge Filing Threshold. The filing must state:

- the proposal identifier and the date of RAC result publication
- each account address relied on to meet the Compliance Challenge Filing Threshold
- for each such address, a message signed by that account over the proposal identifier

The RAC verifies the signatures and the aggregate holding against the most recent governance snapshot.

A filing that meets the requirements of §8.2 and §8.4 but carries an incomplete holding proof is not rejected outright. The RAC notifies the filer and allows the **Holding Proof Cure Period** (DAO Parameters §4) to complete it. The cure period runs inside the RAC's determination window under §8.4 and does not extend it. A filing whose proof is not completed within the cure period lapses.

8.4 Process

1. **Filing.** A Compliance Challenge is filed either by transmission to the **Compliance Challenge Filing Channel** (DAO Parameters §4) or by publication of the filing to the **Official Venue**. The two routes are independently valid: a filer who uses the Channel is not required to publish, and a filer who publishes is not required to use the Channel. Filing is effective on the earlier of transmission and publication, and must occur within the Compliance Challenge Window defined in

DAO Parameters §4. Where recorded transmission time and recorded receipt time differ, the earlier governs.

2. **Content.** The filing must cite the specific Charter section or governance rule alleged to be violated, and must meet the identification and holding-proof requirements in §8.3A.
3. **Publication of Channel filings.** The Governance Operator publishes every filing received at the Channel verbatim to the Official Venue, together with its receipt timestamp, within the **Channel Publication Window** (DAO Parameters §4). Failure to publish does not invalidate the filing and is a reportable breach of the Governance Operator's duties under the Delegate Mandate. Where the Governance Operator is unavailable, or is the subject of the filing, the RAC publishes.
4. **Determination.** The RAC reviews the challenge and issues a determination within **48 hours** of the effective filing time:
   - If the RAC determines the proposal violates governance rules, the proposal is **halted** pending a corrective resubmission
   - If the RAC determines no violation exists, the proposal **proceeds** to execution
5. **Override.** The DAO may override any RAC determination via a Governance Process proposal

The Channel is a convenience route, not a gate. Because publication to the Official Venue is independently sufficient at all times, no operator of the Channel — and no failure, filter, or unavailability of it — can prevent a Compliance Challenge from being validly filed.

8.5 Limitations

- Cannot be used to block proposals based on policy disagreement
- Repeated frivolous filings may result in sanctions under the **Code of Conduct §4** and, once active, the Dispute Resolution & Arbitration Policy
- Cannot be used after the 48-hour window has closed

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9. Cooldowns & Resubmission

9.1 Failed Proposals

Failed proposals may not be resubmitted until the applicable cooldown period has elapsed. Cooldown periods are defined in **DAO Parameters §3.4**.

9.2 Exception

A proposal may be resubmitted without cooldown only if it failed due to a technical issue with the governance platform and the resubmission makes no change to the

proposal's intent, category, or budget. Substantive revisions require the standard cooldown.

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10. Proposal Validity

A proposal is invalid if:

- It violates the Charter
- It exceeds DAO authority
- It lacks required information

The RAC may flag invalid proposals but does not decide outcomes.

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11. Transparency

All proposals must:

- Be publicly accessible
- Include sufficient information for decision-making

Exceptions allowed only under defined confidentiality rules.

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12. Execution Handoff

Once a proposal passes, the execution handoff proceeds as follows:

1. The RAC publishes the official result (§6.5).
2. The Compliance Challenge Window closes with no valid challenge filed, or any Compliance Challenge is resolved in favour of the proposal (§8; DAO Parameters §4).
3. The pre-execution hold elapses (DAO Parameters §9).
4. The RAC or named executor confirms execution readiness and notifies the relevant execution body (Treasury Signers, Working Group, or smart contract).
5. Execution follows the workflow defined in **Execution & Treasury Actions Policy §9**.

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13. Governance Parameters

The following are defined separately and may be updated:

- Quorum thresholds
- Voting duration
- Approval thresholds
- Minimum Affirmative Support floors (DAO Parameters §3.3A)
- Cooldown periods

- Compliance Challenge parameters, including the Compliance Challenge Filing Channel, Channel Publication Window, and Holding Proof Cure Period (DAO Parameters §4)

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14. Amendments

*Amendment procedures and classification requirements are defined in the **Governance Maintenance & Upgrade Framework**.*